CAPITAL IMPROVEMENT PLAN

Lantern Marketplace | Detroit, MI

Property	Lantern Marketplace
Plan Date	June 21, 2022
Prepared For	Anchorage Meadow Partners
Total Plan Budget	$42,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Building	02/15/26	Q3 2026	$888,000	$46,352	Approved
Water heater replacement	Interior	05/06/26	Q3 2026	$323,000	$237,258	In progress
Door hardware	Life Safety	02/19/26	Q2 2025	$761,000	$783,061	Complete
Exterior paint	Energy	09/30/24	Q1 2027	$379,000	$2,391	Deferred
Storefront glazing	Building	02/09/25	Q4 2027	$444,000	$21,907	Complete
LED lighting retrofit	Interior	07/05/23	Q1 2027	$757,000	$162,492	Deferred
Storefront glazing	Life Safety	06/09/24	Q1 2025	$57,000	$22,070	Approved
Pool resurfacing	Energy	01/11/23	Q2 2025	$841,000	$518,127	Bidding
Landscape / irrigation	Building	01/20/23	Q1 2026	$332,000	$306,177	Complete
Sewer line repair	Energy	04/02/23	Q3 2027	$544,000	$176,268	Deferred
Door hardware	Energy	03/17/23	Q2 2026	$503,000	$424,331	Bidding
LED lighting retrofit	Interior	02/09/24	Q3 2027	$156,000	$54,384	Approved
Elevator modernization	Site	12/05/25	Q4 2026	$808,000	$784,491	Approved
Sewer line repair	Life Safety	07/31/25	Q2 2027	$650,000	$152,378	Approved
LED lighting retrofit	Interior	01/24/25	Q4 2027	$20,000	$8,047	Approved
Landscape / irrigation	Building	03/07/26	Q2 2027	$388,000	$346,394	Complete
Pool resurfacing	Life Safety	05/17/25	Q1 2027	$398,000	$14,460	Complete
Security camera upgrade	Energy	08/24/25	Q1 2027	$666,000	$412,476	Approved
Door hardware	Life Safety	02/08/23	Q1 2025	$838,000	$450,113	Approved
Amenity renovation	Site	03/31/25	Q3 2026	$681,000	$287,102	Deferred
Water heater replacement	Life Safety	11/02/25	Q4 2026	$295,000	$87,706	Bidding
Landscape / irrigation	Life Safety	01/25/24	Q4 2026	$363,000	$324,432	Complete
Water heater replacement	Life Safety	02/03/25	Q4 2027	$732,000	$217,816	Bidding
Fence replacement	Energy	02/02/25	Q2 2027	$257,000	$268,595	Bidding
Sewer line repair	Interior	10/15/23	Q3 2027	$674,000	$254,773	Complete

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Energy	12/16/23	Q4 2027	$519,000	$324,587	Bidding
Fence replacement	Energy	12/02/24	Q2 2025	$114,000	$58,630	Deferred
Unit interior upgrades	Building	06/17/25	Q1 2026	$312,000	$44,705	Deferred
LED lighting retrofit	Building	04/13/26	Q3 2025	$302,000	$271,098	Deferred
Signage / monument	Life Safety	06/20/23	Q1 2026	$346,000	$277,150	Complete
Exterior paint	Interior	04/20/25	Q3 2026	$836,000	$135,906	Bidding
Security camera upgrade	Energy	11/22/23	Q2 2027	$697,000	$322,574	Bidding
Parking lot resurfacing	Interior	06/09/26	Q4 2027	$430,000	$101,407	Complete
Door hardware	Site	04/17/23	Q1 2026	$94,000	$78,388	Bidding
Security camera upgrade	Life Safety	02/19/23	Q2 2025	$416,000	$288,821	Bidding
Exterior paint	Building	06/17/24	Q3 2027	$357,000	$150,780	Complete
Water heater replacement	Site	11/12/23	Q4 2025	$165,000	$25,344	Complete
Sewer line repair	Interior	02/12/23	Q4 2027	$693,000	$255,352	In progress
LED lighting retrofit	Interior	02/04/23	Q3 2025	$112,000	$45,756	Bidding
Fire alarm panel upgrade	Life Safety	02/08/23	Q2 2026	$749,000	$670,727	In progress
Lobby renovation	Energy	02/22/25	Q3 2026	$796,000	$373,340	In progress
Water heater replacement	Building	09/12/24	Q1 2025	$330,000	$193,854	Approved
Signage / monument	Interior	05/08/26	Q3 2027	$644,000	$568,942	Complete
Amenity renovation	Building	08/03/24	Q4 2026	$198,000	$105,720	Bidding
Amenity renovation	Building	04/16/25	Q2 2027	$273,000	$84,457	Complete
Amenity renovation	Building	07/27/25	Q3 2027	$520,000	$394,892	Complete
ADA compliance	Interior	03/22/23	Q2 2025	$19,000	$6,986	Complete
Lobby renovation	Life Safety	07/20/23	Q2 2027	$318,000	$108,798	Complete
Storefront glazing	Life Safety	04/01/24	Q1 2026	$750,000	$633,401	In progress
Pool resurfacing	Building	06/16/25	Q4 2027	$883,000	$518,498	Complete
LED lighting retrofit	Energy	07/10/26	Q1 2027	$731,000	$211,673	Approved
Storefront glazing	Life Safety	11/23/26	Q3 2026	$84,000	$11,086	Complete
Door hardware	Energy	08/15/26	Q2 2026	$582,000	$342,165	In progress
Fire alarm panel upgrade	Site	06/18/24	Q3 2026	$728,000	$38,857	Bidding
Water heater replacement	Energy	11/12/23	Q4 2027	$826,000	$821,168	Approved
Door hardware	Interior	02/25/26	Q4 2025	$687,000	$146,686	Deferred
Parking lot resurfacing	Life Safety	11/23/24	Q2 2025	$731,000	$211,117	Approved
HVAC replacement	Energy	09/11/23	Q1 2025	$89,000	$36,523	Bidding
LED lighting retrofit	Interior	05/06/26	Q3 2027	$18,000	$16,676	Complete
Exterior paint	Energy	03/18/24	Q1 2025	$665,000	$13,690	Complete
Fire alarm panel upgrade	Life Safety	09/12/24	Q2 2027	$417,000	$222,190	In progress
Storefront glazing	Site	04/29/26	Q4 2026	$502,000	$283,035	Deferred
Pool resurfacing	Interior	06/29/25	Q1 2026	$400,000	$208,905	Approved
Exterior paint	Life Safety	03/04/26	Q2 2025	$554,000	$292,989	Approved
Elevator modernization	Energy	09/06/23	Q3 2026	$668,000	$15,079	Approved
Fire alarm panel upgrade	Site	01/22/25	Q3 2026	$458,000	$375,590	Deferred
Signage / monument	Energy	08/10/23	Q4 2025	$661,000	$68,191	Complete
Water heater replacement	Building	02/16/24	Q4 2027	$278,000	$65,368	Complete

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $349,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $308,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $41,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.5% with an equity multiple of 1.24x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Projected levered IRR is 11.5% with an equity multiple of 1.46x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $429,000.

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $443,000.

Investor Distributions

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Energy	07/16/24	Q1 2026	$826,000	$459,092	Bidding
HVAC replacement	Energy	02/12/24	Q3 2025	$440,000	$319,611	Complete
Lobby renovation	Site	10/31/26	Q1 2025	$321,000	$26,458	Approved
Signage / monument	Energy	01/29/23	Q3 2027	$269,000	$3,486	In progress
HVAC replacement	Life Safety	02/08/23	Q4 2025	$222,000	$163,164	Deferred
Elevator modernization	Site	07/16/26	Q1 2027	$503,000	$395,710	Deferred
Signage / monument	Interior	01/30/25	Q3 2025	$544,000	$366,430	Complete
Amenity renovation	Life Safety	02/26/24	Q3 2026	$418,000	$150,424	In progress
Pool resurfacing	Life Safety	07/15/26	Q3 2027	$30,000	$12,680	Approved
Roof replacement - Bldg A	Energy	08/21/23	Q2 2027	$467,000	$9,710	Deferred
Fence replacement	Site	02/02/23	Q3 2025	$894,000	$301,622	Bidding
Parking lot resurfacing	Interior	07/05/25	Q3 2027	$172,000	$144,304	Bidding
Amenity renovation	Building	04/30/24	Q1 2025	$141,000	$138,728	Approved
LED lighting retrofit	Building	04/21/23	Q4 2025	$108,000	$14,888	Complete
Security camera upgrade	Interior	04/14/26	Q4 2025	$314,000	$25,063	Bidding
Roof replacement - Bldg C	Life Safety	04/23/24	Q4 2026	$745,000	$318,835	Complete
HVAC replacement	Site	09/20/26	Q4 2027	$32,000	$31,430	Approved
Landscape / irrigation	Energy	05/08/26	Q2 2025	$557,000	$244,816	Bidding
Water heater replacement	Building	01/16/24	Q1 2027	$206,000	$37,716	Complete
Exterior paint	Interior	12/08/24	Q1 2027	$540,000	$483,061	Deferred
Lobby renovation	Energy	02/16/25	Q4 2025	$845,000	$770,044	Complete
HVAC replacement	Building	06/20/26	Q2 2026	$641,000	$466,896	In progress
Landscape / irrigation	Interior	01/13/24	Q2 2026	$252,000	$247,449	Complete
Pool resurfacing	Interior	05/06/23	Q3 2026	$67,000	$50,193	Deferred
Amenity renovation	Building	09/08/26	Q1 2026	$896,000	$884,561	Bidding
Security camera upgrade	Life Safety	02/04/23	Q4 2025	$268,000	$237,061	In progress
Landscape / irrigation	Site	07/02/26	Q2 2027	$527,000	$532,635	Complete
Fence replacement	Building	04/14/24	Q4 2027	$637,000	$230,527	Complete
Roof replacement - Bldg D	Life Safety	05/15/24	Q1 2026	$123,000	$8,666	Deferred
Signage / monument	Life Safety	03/28/26	Q3 2025	$30,000	$4,629	In progress
Signage / monument	Life Safety	08/23/25	Q1 2026	$218,000	$221,994	Approved
Roof replacement - Bldg A	Site	01/12/24	Q1 2027	$492,000	$129,896	Bidding
Signage / monument	Energy	05/31/26	Q2 2027	$308,000	$161,703	Approved
Exterior paint	Site	09/07/23	Q1 2026	$265,000	$188,323	Bidding
Fire alarm panel upgrade	Energy	01/23/25	Q2 2027	$130,000	$64,026	In progress
Amenity renovation	Interior	04/26/23	Q2 2027	$851,000	$831,272	Complete
Exterior paint	Site	03/15/24	Q4 2026	$354,000	$140,427	Bidding
Door hardware	Site	02/09/24	Q4 2027	$365,000	$188,736	Bidding
Exterior paint	Energy	01/21/24	Q3 2027	$146,000	$148,631	Bidding
Door hardware	Interior	07/13/25	Q3 2027	$896,000	$820,848	Approved
LED lighting retrofit	Energy	05/30/24	Q4 2025	$819,000	$833,963	Approved
HVAC replacement	Site	06/20/23	Q4 2026	$192,000	$132,000	In progress

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 6 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $236,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investor Distributions

Average rent is $22 per square foot with parking at a ratio of 25 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 3.3% with an equity multiple of 1.16x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. Projected levered IRR is 6.0% with an equity multiple of 1.44x over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average rent is $22 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $156,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 43 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $236,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $22 per square foot with parking at a ratio of 17 spaces per 1,000 square feet. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Recommendations

Elevators were last modernized 6 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $267,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $286,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investor Distributions

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Life Safety	11/26/26	Q3 2025	$880,000	$683,200	Approved
Storefront glazing	Building	02/07/25	Q3 2025	$172,000	$73,591	Approved
ADA compliance	Site	05/23/26	Q1 2025	$818,000	$157,144	Approved
Landscape / irrigation	Life Safety	09/09/23	Q2 2025	$730,000	$56,492	Complete
Landscape / irrigation	Site	06/04/26	Q4 2026	$269,000	$206,956	Deferred
Fence replacement	Interior	09/06/23	Q4 2026	$869,000	$582,754	Complete
Fence replacement	Building	11/04/25	Q2 2027	$117,000	$51,240	Deferred
Lobby renovation	Life Safety	01/15/26	Q2 2027	$232,000	$97,473	Approved
Fire alarm panel upgrade	Site	06/14/26	Q1 2025	$733,000	$231,418	Deferred
Landscape / irrigation	Life Safety	06/15/26	Q1 2027	$748,000	$367,441	In progress
Lobby renovation	Building	12/11/26	Q3 2025	$692,000	$588,017	Approved
Security camera upgrade	Energy	03/20/24	Q1 2025	$459,000	$320,791	Approved
Parking lot resurfacing	Site	04/01/25	Q4 2026	$159,000	$25,706	Bidding
Security camera upgrade	Building	12/29/25	Q3 2027	$213,000	$188,492	Complete
Unit interior upgrades	Building	02/11/26	Q4 2026	$798,000	$813,913	Complete
Amenity renovation	Life Safety	07/23/23	Q3 2025	$413,000	$70,456	Bidding
Water heater replacement	Site	06/22/24	Q2 2027	$748,000	$390,598	Complete
Amenity renovation	Building	07/18/23	Q1 2026	$857,000	$569,330	Bidding
Fire alarm panel upgrade	Life Safety	07/19/26	Q4 2027	$526,000	$91,607	Approved
Sewer line repair	Building	09/19/25	Q2 2026	$187,000	$52,982	Bidding
Roof replacement - Bldg C	Site	01/10/25	Q2 2025	$610,000	$66,983	Bidding
Storefront glazing	Site	08/07/23	Q2 2027	$880,000	$279,633	In progress
Parking lot resurfacing	Building	10/15/26	Q1 2027	$621,000	$188,354	Complete
Amenity renovation	Site	01/12/26	Q1 2027	$695,000	$215,978	Approved
LED lighting retrofit	Energy	08/27/25	Q3 2027	$556,000	$489,928	In progress
Signage / monument	Energy	12/16/23	Q2 2025	$282,000	$118,792	Complete
Door hardware	Life Safety	11/25/24	Q3 2026	$701,000	$239,138	Approved
Roof replacement - Bldg C	Life Safety	08/19/25	Q4 2026	$520,000	$133,548	Deferred
Pool resurfacing	Building	10/24/26	Q2 2027	$134,000	$87,804	Bidding
Roof replacement - Bldg A	Interior	01/24/25	Q2 2026	$213,000	$40,223	Bidding
Parking lot resurfacing	Interior	05/13/23	Q2 2025	$462,000	$152,692	Deferred
Exterior paint	Site	01/25/24	Q2 2027	$39,000	$24,147	In progress
LED lighting retrofit	Building	03/19/26	Q2 2025	$804,000	$730,801	Deferred
Fire alarm panel upgrade	Life Safety	05/25/23	Q4 2025	$585,000	$321,298	Complete
Unit interior upgrades	Energy	08/19/26	Q1 2027	$399,000	$249,501	Approved
Parking lot resurfacing	Site	01/21/23	Q4 2025	$665,000	$61,108	Approved
Elevator modernization	Building	06/04/25	Q3 2025	$762,000	$458,538	Approved
Landscape / irrigation	Interior	11/12/25	Q1 2025	$547,000	$14,504	Approved
Pool resurfacing	Building	06/10/26	Q4 2027	$163,000	$83,102	Bidding
ADA compliance	Life Safety	07/21/25	Q2 2026	$451,000	$99,783	Deferred

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $94,000. Elevators were last modernized 4 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $312,000.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Projected levered IRR is 6.7% with an equity multiple of 1.6x over the hold period. Average rent is $22 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $281,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 6 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $375,000.

Risk Considerations

Projected levered IRR is 12.3% with an equity multiple of 1.22x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $22 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 37 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Elevators were last modernized 8 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $262,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Business Plan Progress

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Building	02/23/24	Q2 2027	$679,000	$339,300	Deferred
Landscape / irrigation	Building	07/08/25	Q1 2026	$508,000	$359,746	Bidding
ADA compliance	Interior	09/21/25	Q4 2027	$894,000	$505,610	Bidding
Lobby renovation	Building	02/28/26	Q3 2026	$167,000	$95,862	Approved
Fence replacement	Site	08/24/25	Q1 2026	$694,000	$139,088	Deferred
Storefront glazing	Building	08/03/24	Q2 2027	$288,000	$54,310	In progress
Fire alarm panel upgrade	Site	02/14/24	Q3 2025	$247,000	$24,917	Approved
Landscape / irrigation	Site	02/11/24	Q1 2027	$79,000	$74,680	Deferred
Parking lot resurfacing	Building	04/16/23	Q4 2026	$116,000	$42,789	In progress
Exterior paint	Site	08/15/26	Q4 2025	$714,000	$710,830	Complete
Lobby renovation	Interior	06/09/24	Q1 2025	$337,000	$137,850	In progress
Elevator modernization	Site	12/03/23	Q3 2025	$240,000	$70,729	In progress
Parking lot resurfacing	Energy	02/07/23	Q2 2027	$88,000	$56,377	In progress
Door hardware	Life Safety	03/20/26	Q2 2027	$626,000	$626,077	Approved
LED lighting retrofit	Life Safety	11/25/23	Q4 2027	$568,000	$481,291	Complete
Lobby renovation	Energy	10/15/26	Q1 2026	$544,000	$19,012	Approved
LED lighting retrofit	Energy	01/27/26	Q2 2026	$772,000	$74,616	Deferred
Storefront glazing	Interior	03/30/24	Q3 2026	$69,000	$23,525	Deferred
Lobby renovation	Building	01/20/23	Q2 2027	$810,000	$251,358	Bidding
Landscape / irrigation	Life Safety	04/12/23	Q3 2027	$825,000	$659,820	Bidding
LED lighting retrofit	Site	03/15/26	Q1 2027	$123,000	$20,679	Complete
Pool resurfacing	Energy	02/28/26	Q4 2025	$368,000	$123,466	Complete
Exterior paint	Interior	05/10/26	Q3 2025	$860,000	$69,715	In progress
Sewer line repair	Energy	03/16/26	Q2 2027	$261,000	$158,627	Approved
Unit interior upgrades	Building	05/29/23	Q2 2026	$889,000	$688,054	Deferred
HVAC replacement	Life Safety	07/12/24	Q4 2025	$507,000	$100,278	Deferred
Storefront glazing	Interior	12/31/23	Q4 2025	$332,000	$107,327	Deferred
Security camera upgrade	Building	05/24/25	Q3 2027	$168,000	$129,629	In progress
Amenity renovation	Building	12/22/24	Q1 2025	$870,000	$857,337	Bidding
Fence replacement	Energy	05/07/25	Q3 2026	$817,000	$296,109	Deferred
Security camera upgrade	Life Safety	03/05/23	Q2 2025	$167,000	$112,633	In progress
Security camera upgrade	Site	11/09/24	Q2 2025	$56,000	$46,056	In progress
Sewer line repair	Interior	12/20/25	Q2 2026	$581,000	$130,907	Deferred
Signage / monument	Interior	10/03/26	Q3 2027	$564,000	$460,078	Bidding
Parking lot resurfacing	Interior	05/23/25	Q4 2027	$165,000	$113,640	Deferred
Exterior paint	Interior	02/17/24	Q1 2027	$552,000	$193,884	In progress
Fence replacement	Interior	06/10/25	Q4 2027	$267,000	$95,208	Complete
Exterior paint	Life Safety	08/03/23	Q2 2027	$699,000	$416,327	Deferred
Parking lot resurfacing	Site	06/04/25	Q2 2027	$870,000	$307,801	Approved
Storefront glazing	Building	09/10/23	Q2 2026	$721,000	$108,182	Deferred
Exterior paint	Life Safety	05/16/23	Q3 2026	$278,000	$27,943	Bidding

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $171,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $283,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

Average rent is $22 per square foot with parking at a ratio of 44 spaces per 1,000 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 12 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $286,000.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $445,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

Average rent is $22 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Average rent is $22 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $190,000. Elevators were last modernized 10 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $430,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Interior	07/05/24	Q2 2025	$628,000	$439,750	Deferred
Pool resurfacing	Interior	01/02/24	Q1 2026	$383,000	$236,944	Deferred
LED lighting retrofit	Site	02/28/26	Q1 2026	$29,000	$20,369	Approved
Sewer line repair	Life Safety	07/09/23	Q1 2026	$652,000	$596,808	Bidding
Exterior paint	Site	08/07/24	Q1 2025	$301,000	$270,516	Bidding
Water heater replacement	Building	01/07/24	Q1 2026	$278,000	$50,319	Bidding
Elevator modernization	Energy	09/26/24	Q1 2026	$209,000	$178,549	Deferred
Roof replacement - Bldg D	Interior	10/05/24	Q3 2027	$536,000	$159,112	Complete
Sewer line repair	Building	05/03/25	Q1 2027	$733,000	$344,288	In progress
Pool resurfacing	Energy	09/06/26	Q1 2026	$168,000	$168,422	Deferred
Unit interior upgrades	Energy	04/23/23	Q1 2026	$647,000	$146,045	Approved
Sewer line repair	Site	09/17/25	Q4 2027	$282,000	$21,800	In progress
Sewer line repair	Life Safety	10/11/25	Q4 2025	$860,000	$411,475	Approved
Elevator modernization	Energy	10/27/25	Q4 2025	$643,000	$256,141	Complete
Storefront glazing	Interior	10/27/23	Q4 2026	$879,000	$877,152	Approved
Unit interior upgrades	Interior	09/13/25	Q2 2026	$726,000	$133,496	Complete
Roof replacement - Bldg C	Energy	07/02/25	Q2 2027	$471,000	$332,181	Bidding
Storefront glazing	Interior	08/02/26	Q4 2026	$699,000	$198,889	Deferred
Exterior paint	Life Safety	05/07/24	Q3 2025	$440,000	$124,628	Complete
Elevator modernization	Energy	12/27/24	Q3 2027	$450,000	$355,782	In progress
Fence replacement	Energy	03/02/24	Q3 2025	$263,000	$241,237	Bidding
Sewer line repair	Energy	08/04/24	Q1 2027	$138,000	$9,709	Bidding
Parking lot resurfacing	Interior	12/04/25	Q3 2025	$269,000	$38,998	Approved
Door hardware	Building	06/24/25	Q2 2027	$618,000	$143,547	Bidding
Storefront glazing	Building	10/13/26	Q1 2026	$414,000	$420,144	Bidding
Elevator modernization	Energy	10/18/26	Q1 2025	$856,000	$250,104	Deferred
Exterior paint	Building	10/25/24	Q1 2027	$842,000	$457,559	In progress
Storefront glazing	Interior	05/29/24	Q1 2026	$789,000	$511,195	In progress
Roof replacement - Bldg B	Energy	01/12/26	Q1 2027	$191,000	$194,718	Approved
Fence replacement	Site	10/25/25	Q2 2026	$556,000	$22,491	In progress
Lobby renovation	Energy	02/20/24	Q1 2025	$324,000	$148,433	Bidding
Signage / monument	Energy	04/09/23	Q1 2027	$888,000	$864,725	Complete
Sewer line repair	Building	01/21/25	Q3 2025	$863,000	$698,065	In progress
Fence replacement	Building	08/05/26	Q2 2025	$669,000	$167,084	Bidding
ADA compliance	Site	08/23/24	Q2 2025	$289,000	$15,928	Deferred
Signage / monument	Building	10/12/25	Q2 2027	$211,000	$220,180	Bidding
Door hardware	Interior	05/16/24	Q1 2026	$440,000	$203,453	Approved
Exterior paint	Life Safety	03/20/23	Q4 2025	$298,000	$193,862	In progress
LED lighting retrofit	Building	03/03/23	Q2 2026	$172,000	$159,013	Approved
LED lighting retrofit	Site	02/14/24	Q1 2025	$78,000	$9,908	Bidding

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $189,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 5 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months.

Risk Considerations

Projected levered IRR is 3.9% with an equity multiple of 1.2x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $374,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average rent is $22 per square foot with parking at a ratio of 28 spaces per 1,000 square feet.

Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 6 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $290,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Site	12/09/25	Q4 2027	$392,000	$358,110	Bidding
Water heater replacement	Life Safety	04/09/23	Q4 2027	$447,000	$420,425	Bidding
Fire alarm panel upgrade	Building	11/19/26	Q3 2025	$788,000	$456,958	Complete
Roof replacement - Bldg B	Energy	03/14/23	Q1 2025	$530,000	$218,427	Complete
Elevator modernization	Energy	05/12/23	Q2 2025	$72,000	$10,141	Approved
LED lighting retrofit	Building	08/21/23	Q2 2027	$691,000	$7,688	Bidding
Unit interior upgrades	Life Safety	02/08/25	Q1 2026	$842,000	$406,705	Complete
Fire alarm panel upgrade	Life Safety	06/26/24	Q2 2027	$32,000	$29,462	Bidding
Water heater replacement	Life Safety	04/28/25	Q4 2027	$770,000	$536,356	Bidding
Roof replacement - Bldg C	Interior	04/07/23	Q4 2025	$467,000	$84,788	In progress
Fence replacement	Life Safety	06/10/24	Q1 2026	$870,000	$888,077	Approved
HVAC replacement	Building	03/15/23	Q1 2025	$695,000	$434,886	Complete
HVAC replacement	Site	02/21/25	Q2 2027	$94,000	$3,874	Approved
Storefront glazing	Building	12/17/24	Q1 2025	$227,000	$191,404	Approved
LED lighting retrofit	Life Safety	08/18/26	Q3 2026	$706,000	$604,621	Deferred
Fire alarm panel upgrade	Interior	11/25/23	Q1 2027	$781,000	$464,253	Approved
Landscape / irrigation	Life Safety	12/19/23	Q2 2027	$567,000	$86,950	Bidding
Fence replacement	Energy	05/19/26	Q1 2025	$589,000	$112,967	Approved
ADA compliance	Life Safety	08/01/26	Q3 2025	$436,000	$415,684	Complete
Unit interior upgrades	Interior	10/26/26	Q2 2027	$265,000	$70,660	Deferred
Sewer line repair	Energy	09/08/23	Q4 2027	$430,000	$243,807	Complete
Fence replacement	Building	11/30/26	Q2 2026	$378,000	$282,269	In progress
Storefront glazing	Site	06/22/23	Q1 2026	$545,000	$253,923	Deferred
Unit interior upgrades	Interior	05/17/23	Q3 2025	$279,000	$108,004	Complete
HVAC replacement	Interior	02/06/24	Q2 2027	$869,000	$647,666	Complete
Unit interior upgrades	Building	03/12/23	Q4 2025	$158,000	$74,107	Complete
Amenity renovation	Life Safety	09/16/23	Q1 2025	$481,000	$280,914	Complete
Security camera upgrade	Interior	04/20/23	Q1 2026	$745,000	$464,559	In progress
Parking lot resurfacing	Interior	03/09/23	Q3 2026	$266,000	$267,771	Bidding
Elevator modernization	Building	09/10/25	Q4 2026	$835,000	$221,250	In progress
Parking lot resurfacing	Site	07/28/24	Q3 2025	$140,000	$108,377	Complete
Landscape / irrigation	Building	05/07/24	Q4 2025	$396,000	$99,253	Complete
Security camera upgrade	Building	10/15/25	Q4 2026	$184,000	$3,197	Complete
HVAC replacement	Site	08/05/25	Q4 2027	$646,000	$376,212	Approved
Parking lot resurfacing	Interior	04/03/26	Q2 2026	$498,000	$462,255	Approved
Exterior paint	Interior	04/24/26	Q3 2025	$55,000	$41,645	Bidding
Door hardware	Life Safety	04/01/25	Q1 2027	$448,000	$377,144	In progress
Elevator modernization	Site	07/16/23	Q4 2027	$99,000	$23,438	Bidding
Fence replacement	Building	01/13/24	Q4 2027	$396,000	$88,499	Deferred
Water heater replacement	Site	11/16/24	Q4 2027	$37,000	$32,093	In progress
HVAC replacement	Energy	06/16/23	Q1 2027	$213,000	$124,275	Bidding
Fence replacement	Site	05/12/25	Q3 2027	$384,000	$291,369	In progress
Landscape / irrigation	Life Safety	04/27/24	Q3 2025	$68,000	$193	Bidding

Report generated 06/21/2022. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months. Elevators were last modernized 10 years ago and are operating without deficiency.

Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $22 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 12.0% with an equity multiple of 1.48x over the hold period.

Average rent is $22 per square foot with parking at a ratio of 22 spaces per 1,000 square feet. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $250,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Elevators were last modernized 8 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $358,000.

Investor Distributions

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $22 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $98,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 11 years ago and are operating without deficiency.

Investment Overview

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only